

REPORT TO: WEST OF ENGLAND COMBINED AUTHORITY COMMITTEE

DATE: 5 JUNE 2026

REPORT TITLE: INVESTMENT FUND PROGRAMME AND GRANT ASSURANCE

RESPONSIBLE OFFICER: DIRECTOR OF FINANCE, INVESTMENTS AND COMMERCIAL

Key Decision Yes

Purpose of Report

To update on the overall Investment Fund (IF) programme and headroom.

Recommendation

That the West of England Combined Authority Committee:

- 1) Delegates the authority to the West of England Combined Authority Director of Place, in consultation with equivalent Directors from the Unitary Authorities, to approve the Full Business Case for the Distribution Hub once a suitable site has been identified. In the event of a consensus not being reached at Director level, decision making will be escalated to the West of England Mayoral Combined Authority Chief Executive Officer (CEO) in consultation with the Unitary Authority CEOs.
- 2) Allocates £5m of Investment Fund capital to create a Nature Recovery Fund.
- 3) Notes the intended receipt of the indicative allocation of £868,500 of Funding for Local Remediation Acceleration Plans revenue grant and notes that the receipt of the funding and acceptance of any terms and conditions accompanying the funding is subject to the final approval of the MCA's Section 73 officer exercising her delegations under the Constitution.
- 4) Delegates the finalisation of the detail of the allocation and use of the Local Remediation Acceleration Plans funding, within the parameters of the grant conditions, to the West of England Mayoral Combined Authority Director of Place in consultation with the equivalent Directors from the Unitary Authorities. In the event of a consensus not being reached at Director level, decision making will be escalated to the West of England MCA's Chief Executive Officer (CEO) in consultation with the Unitary Authority CEOs.

- 5) Notes the intended receipt of an indicative allocation of £200k of revenue funding from Homes England's Markets, Partners and Places Directorate for 26/27 and notes that the receipt of the funding and acceptance of any terms and conditions accompanying the funding is subject to the final approval of the MCA's Section 73 officer exercising her delegations under the Constitution.
- 6) Delegates the finalisation of the detail of the allocation and use of the £200k funding, together with future awards of Homes England funding to support the Strategic Place Partnership, within the parameters of the grant conditions, to the West of England Mayoral Combined Authority (MCA) Director of Homes and Regeneration in consultation with the Directors of Place of the Unitary Authorities. In the event of a consensus not being reached at Director level, decision making will be escalated to the West of England MCA's Chief Executive Officer (CEO) in consultation with the Unitary Authority CEOs.
- 7) Delegates authority to the West of England Mayoral Combined Authority Executive Director of Transport, in consultation with the Unitary Authority Directors of Infrastructure, to enter into a grant funding agreement with First Bus through the Zero Emission Buses Regional Areas (ZEBRA2) award. In the event of a consensus not being reached at Director level, decision making will be escalated to the West of England Mayoral Combined Authority's Chief Executive Officer (CEO) in consultation with the Unitary Authority CEOs.
- 8) Notes the updated work programme to utilise the Zero Emission Transport City (ZETC) funding, as set out in paragraph 31.
- 9) Delegates oversight of the ZTEC funding to the Executive Director of Transport in consultation with the equivalent Unitary Authority Directors. In the event of a consensus not being reached at Director level, decision making will be escalated to the West of England Mayoral Combined Authority's Chief Executive Officer (CEO) in consultation with the Unitary Authority CEOs.

Reasons for recommendation

Business Cases and Funding Applications are presented to Committee for a decision on approval and release of funding.

Voting arrangements

In order to be carried, a decision under Recommendations 1, 2, 4, 6, 7 and 9 requires a majority of the members present and voting, such majority is to include the Mayor. Each member present may cast one vote. If a vote is tied, the decision is not carried. There is no casting vote. Co-opted members are not entitled to vote.

Recommendations 3, 5 and 8 are for noting and voting arrangements are not relevant.

Publication Requirements

For publication.

Background

1. At the meeting of the West of England Mayoral Combined Authority (MCA) Committee in October 2023, the Investment Fund time horizon was extended to 27/28 reinstating the 5-year rolling programme at that time. With the reduction in overprogramming agreed at the Committee meeting in October 2025, the funding available within this period is:

	£m
• £30m of Investment Fund per annum x 12 years (16/17 to 27/28)	360.0
• Transforming Cities Funding (TCF)	80.0
• One year succession to Local Growth Funding	7.4
• Structured over-programming of delivery against spend (capital)	7.5
Total	454.9

2. With the approvals made at the West of England MCA Committee meeting in March 2026, the headroom within the Investment Fund programme to 27/28 stands at £10.8m. A summary of all the approved and allocated funding across the Investment Fund programme is shown in Appendix 1 and is summarised in Figure 1, which includes the approvals proposed to this Committee. The changes through the approvals included in this report, or elsewhere on the agenda, are summarised in Figure 2. As shown, with these approvals included, the headroom to 27/28 would stand at £6.6m. In addition, there is a commitment of £5.75m for Mass Transit post 27/28.

Figure 1: Summary of Investment Programme to 2028 by Priority Theme

Funding Awards and Allocations £000s	Mar 26	Jun 26
Transport Infrastructure		
Approved Awards and Allocations	163,875	163,875
Funds Committed in Principle	2,958	2,958
Total Investment	166,833	166,833
Housing, High Streets and Green Infrastructure		
Approved Awards and Allocations	102,595	107,595
Funds Committed in Principle	-	-
Total Investment	102,595	107,595
Business and Skills		
Approved Awards and Allocations	154,584	153,831
Funds Committed in Principle	7,369	7,369
Total Investment	161,953	161,200
Other		
Approved MCA set up, operating, election and Gateway Review costs to 27/28	12,703	12,703
Headroom to March 2028	10,816	6,569
Total Investment Programme up to March 2028		
	454,900	454,900

Figure 2: Summary of Funding Approvals at this Committee

Para	Project/Programme	Amount (£000's)	Change to Headroom to 27/28 (£000's)	Running Headroom Balance (£m)
Position including decisions at the March 26 Committee				10.8
8	Nature Recovery Fund	5,000	-5,000	5.8
14	Change requests	753	+753	6.6

Key Considerations

Distribution Hub

- At the meeting of the MCA Committee in January, £50k of funding was approved to develop the Full Business Case for the regional Distribution Hub which would

serve as a central site for redistributing surplus goods from business and public sector partners to those who need them most, such as families on low incomes, care leavers and other groups with specific needs. This will be delivered through a partnership between the Combined Authority and Bristol Charities. At the Committee £2m of capital was also approved in principle to acquire a site for the Distribution Hub, subject to approval of the Full Business Case by the Committee.

4. The Multibank-type model is a clothes, bedding, baby, hygiene products, toys and furniture bank all rolled into one, linking companies that have surplus goods people need and local charities who know the people who need them. There are currently 6 Multibanks in operation in the UK, but no Multibank style offer in the South West. Multibank partners with companies such as Amazon, Unilever and Ikea, among many others. Assessment of existing Multibanks or similar facilities indicate that it would be reasonable to target a distribution of 800,000 essential items to 19,000 families across the region from this element of the regional distribution hub, once fully established.
5. Three quarters of Food Share South West's (FSSW) charity partners serve families with children and over 60% of what FSSW rescues is fresh fruit, vegetables and dairy, alongside high-value proteins such as meat and fish. In 2024/5 they distributed 664 tonnes of food within the West of England Combined Authority region, equivalent to £2.46m of food value, supporting 157 charities and reaching approximately 17,700 people contributing 1.6 million meals.
6. Since January, significant progress has been made in developing the Full Business Case, including work in progress to formalise the legal arrangements between the Combined Authority and Bristol Charities. Bristol Charities has been working with FareShare South West (FSSW) to secure a long-term solution to the need for quality distribution space for FSSW and other regional charities with an operating model requiring a warehouse or distribution/logistics space. The partners are committed to scaling and widening the benefits of their work and FSSW works not only across the Combined Authority region but also throughout the wider South West. Initial economic modelling as part of the emerging Full Business Case, shows the scheme has the potential to deliver strong value for money. An Executive Summary of the proposal as it stands is set out in Appendix 2.
7. The forecast additional impact of FSSW in the West of England over ten years, in the context of where the region's most deprived areas are currently situated, is shown in Figure 3. Please note this table shows FSSW's current and future projected support, not any other food distribution initiatives. The high level of need in the Bristol area, combined with the maturity of FSSW's existing partner network there, has meant that distribution is historically weighted towards this area. However, as part of their 2026/27 Food and Community Plan, FSSW will use the Regional Distribution Hub project as an opportunity to analyse van routes and

other aspects of redistribution operations to assess how further support can be provided into the other UAs within the West of England.

Figure 3: Projected additional impact (above current levels) of FSSW in the West of England region over the next 10 years (2027-2036)

	Current status		Projected figures over 10 years of operation		
Area	People supported by FSSW currently (% as a proportion of region)	Current location of the 100 most deprived areas* in WofE region	Food distributed (tonnes)	Meals provided	People supported
Bristol	79%	77%	1,804	4.3m	27,778
B&NES	13%	5%			
South Gloucestershire	5%	3%			
North Somerset	2%	15%			
TOTAL	100%	100%			

*These areas refer to Lower layer Super Output Areas (LSOAs), which are small areas, typically comprising 1,000 to 3,000 residents. Data from [MHCLG 2025](#).

8. FSSW's growth trajectory in Bristol started small so the current lower representation in South Gloucestershire and North Somerset today provides an opportunity and ambition to replicate the Bristol growth elsewhere. FSSW aims to widen its reach within the region through the recruitment of new community members and partners, whose needs are aligned to the available food surplus, ensuring that food continues to be redistributed to areas where need is greatest and where the highest levels of impact can be achieved.
9. The site search with Bristol Charities for a suitable property is underway, but a specific site has not yet been identified. It has become clear that securing a suitable property will require the partners to act quickly, and there is a risk that a suitable site will be lost during the process of approval of the Full Business Case through the Committee cycle. It is therefore proposed that a delegation is granted to the Director of Place, in consultation with the UA counterparts, to approve the Full Business Case. The FBC will establish the regional evidential base for the proposal, outline a clear plan for building VCSE capacity to ensure equitable

impact across the region, and present a comprehensive programme for monitoring and evaluation with effective oversight from all UAs. The operating model proposes the Combined Authority financial contribution will be contained within the £2m capital allocation for the upfront warehouse purchase and refurbishment, with no ongoing revenue requirement.

Recommendation 1: Delegates the authority to the West of England Combined Authority Director of Place, in consultation with equivalent Directors from the Unitary Authorities, to approve the Full Business Case for the Distribution Hub once a suitable site has been identified. In the event of a consensus not being reached at Director level, decision making will be escalated to the West of England Mayoral Combined Authority Chief Executive Officer (CEO) in consultation with the Unitary Authority CEOs.

Nature Recovery Fund

10. The Local Nature Recovery Strategy (LNRS) is the statutory document that lays out the regional approach to nature recovery. The LNRS was developed through a comprehensive engagement and consultation process, and represents a clear, strategic approach to achieving nature recovery in the region. We have committed to delivering the outcomes of the LNRS with a specific action in the Growth Strategy and it will be a key requirement within the Environment and Climate strand of the integrated settlement.
11. Delivery of the LNRS is being directly supported by the West of England Nature Partnership (WENP). The partnership is hosted within the MCA, and includes all 4 UAs, representatives of the statutory environmental bodies, water companies and the main environmental Non Governmental Organisations (NGOs). Following publication of the LNRS, we have worked with WENP to develop more detailed delivery proposals in the form of a prospectus, which is generating a pipeline of specific projects.
12. It is proposed to allocate £5m of capital from the Investment Fund to create a Nature Recovery Fund, to be deployed based upon the following approach:
 - Take a steer directly from the LNRS.
 - Be based on guaranteed delivery within the timeframes with projects being close to shovel-readiness.
 - Ideally involve multiple organisations to enable delivery of a wider a range of outcomes.
 - Be developed through convening partners to co-design and prioritise led by WENP, supported by the MCA's nature recovery team, to develop a small number of strategic business cases.

13. The majority of funding is expected to support direct delivery and visible progress within the short term, but a proportion could support the programme development, evidence and investment-readiness work needed to leave the strategic pipeline in a much stronger position for future investment and delivery.
14. It is planned that a number of Full Business Cases drawing on this allocation will be presented to the Committee in October for approval, or in instances where further time is required to develop the proposal, these will be submitted as Outline Business Cases with a delegation sought from Committee for final approval.

Recommendation 2: Allocates £5m of Investment Fund capital to create a Nature Recovery Fund.

Fashion Museum Bath

15. At the meeting of the March Committee, an Outline Business Case for the Fashion Museum Bath was approved and £1.745m was awarded to undertake initial works and to develop the Full Business Case, with the MCA and B&NES to undertake a joint review of the overall business case to optimise the strategic positioning and assess future funding requirements and investment opportunities beyond 27/28. The scheme will include the relocation of the Fashion Museum and its internationally significant collection into the Grade II-listed Old Post Office with major public realm enhancements that enable the Museum's success and deliver culture led regeneration for the city centre. Development of the Full Business Case is progressing, working towards presenting this to the October Committee meeting.

Scheme Changes

16. As reported in the Delivery Assurance report on this agenda, two schemes seek changes to their funding which impact on the Investment Fund headroom, being the Green Growth Impact Fund (-£523k) and FWD, formerly ISTART (-£230k). These would together increase the headroom by £753k.

West of England Cladding Remediation Funding Allocation

17. The Grenfell Tower tragedy, which led to the loss of 72 lives, highlighted significant issues within the broader housing stock in England. Since then, many thousands of buildings with unsafe cladding have been identified. Progress has been made to tackle problems in those buildings most at risk, with remediation having started or completed on 95% of high-rise buildings with the type of cladding in place on Grenfell Tower.
18. In December 2024, the Ministry of Housing, Communities and Local Government (MHCLG) published their National Remediation Acceleration Plan (NRAP) for

accelerating the remediation of high- and mid-rise buildings across the country. The NRAP set out three key objectives:

- Fixing buildings faster.
- Identifying all buildings with unsafe cladding.
- Supporting residents.

19. The NRAP also set out new national targets for building remediation. It is expected these will ultimately become statutory via the Remediation Bill. The targets were updated in July 2025 to reflect that:

- By the end of 2029, all 18m+ (high-rise) buildings with unsafe cladding in a government funded scheme will have been remediated.
- By the end of 2031, every 11-18m building with unsafe cladding will have been remediated. Failure to meet this deadline without a reasonable excuse will constitute a criminal offence, punishable by unlimited fines and/or imprisonment.

20. To help accelerate remediation across the West of England, MHCLG has indicatively allocated the Mayoral Combined Authority (MCA) £868,500 to 2028/29. MHCLG are not directly funding Avon Fire and Rescue Service (AFRS) or the region's Unitary Authority's (UAs) with the exception of Bristol City Council (BCC) and it is the expectation that the MCA deploy this funding appropriately.

21. Noting AFRS's regional responsibilities and statutory remit, the MCA will seek to passport the majority of funding to AFRS. In doing so, we can ensure, as much as possible, a consistent and balanced regional approach to remediation activity. It is on this basis that no allocations are proposed for Bath and North East Somerset, North Somerset or South Gloucestershire Councils. Additionally, and recognising the significantly higher number of mid and high-rise buildings in Bristol, the remaining funding will be provided to Bristol City Council as a top up to their allocation from MHCLG, with the MCA retaining a small fund to support with coordination and analysis.

Figure 4: Indicative West of England MHCLG Cladding Remediation Funding Allocation

Organisation	2026/27	2027/28	Total
West of England Combined Authority	£50,000	£0	£50,000
Bristol City Council	£51,147	£125,271	£176,418

Avon Fire and Rescue Service	£381,353	£260,729	£642,082
Total	£482,500	£386,000	£868,500

22. A breakdown of the indicative regional allocation and subsequent deployment can be found in Figure 4. This indicative grant funding will enable the MCA, in partnership with AFRS and BCC, to further establish a programme of work that seeks to accelerate cladding remediation.

Recommendation 3: Notes the intended receipt of the indicative allocation of £868,500 of Funding for Local Remediation Acceleration Plans revenue grant and notes that the receipt of the funding and acceptance of any terms and conditions accompanying the funding is subject to the final approval of the MCA's Section 73 officer exercising her delegations under the Constitution.

Recommendation 4: Delegates the finalisation of the detail of the allocation and use of the Local Remediation Acceleration Plan funding, within the parameters of the grant conditions, to the West of England Mayoral Combined Authority Director of Place in consultation with the equivalent Directors from the Unitary Authorities. In the event of a consensus not being reached at Director level, decision making will be escalated to the West of England MCA's Chief Executive Officer (CEO) in consultation with the Unitary Authority CEOs.

Homes England Strategic Place Partnership

23. In May 2025, the MCA signed a Strategic Place Partnership with Homes England. Homes England and the MCA will work on a shared plan to accelerate growth in the West of England while advancing their existing partnership projects, like Bristol Temple Quarter, with a renewed focus. The MCA and Homes England have established a Strategic Place Partnership Board, chaired by the metro mayor, to oversee delivery and progress work on key shared objectives.
24. Homes England have offered the MCA an initial £200k to progress regional work in 26/27, with this funding required to be spend by 31 March 2027. This will be used to progress workstreams set out in the published Partnership Business Plan.

There may be future revenue grants allocated to the MCA from Homes England's Markets, Partners and Places Directorate, up to a maximum cap of £2m.

Recommendation 5: Notes the intended receipt of an indicative allocation of £200k of revenue funding from Homes England's Markets, Partners and Places Directorate for 26/27 and notes that the receipt of the funding and acceptance of any terms and conditions accompanying the funding is subject to the final approval of the MCA's Section 73 officer exercising her delegations under the Constitution.

Recommendation 6: Delegates the finalisation of the detail of the allocation and use of the £200k funding, together with future awards of Homes England funding to support the Strategic Place Partnership, within the parameters of the grant conditions, to the West of England Mayoral Combined Authority (MCA) Director of Homes and Regeneration in consultation with the Directors of Place of the Unitary Authorities. In the event of a consensus not being reached at Director level, decision making will be escalated to the West of England MCA's Chief Executive Officer (CEO) in consultation with the Unitary Authority CEOs.

Zero Emission Bus Regional Areas scheme (ZEBRA 2)

25. In October 2023, the Department for Transport (DfT) announced the ZEBRA 2 fund – enabling local transport authorities to bid for funding to support the rollout of zero emission buses across England. The West of England Mayoral Combined Authority was successful with an initial bid of £6.6 million, to fund 74 new electric buses and electrification of the Hengrove depot, which has now been fully delivered. Funding was provided to First Bus through a grant funding agreement.
26. In December 2024, a bid for a scope increase was submitted to DfT and in March 2025, the DfT announced the award of an additional £19.8 million to fund 160 additional vehicles and charging infrastructure at Hengrove, Lawrence Hill and Bath Depots. The total capital cost of the Authority's ZEBRA 2 project now stands at £134m (with some £26m from the ZEBRA 2 funding award and £108m of investment from First Bus). The funding covers up to 75% of the cost of infrastructure and 75% of the cost difference between a zero-emission bus and conventional diesel buses and required partnership working with operators to develop a suitable bid.
27. In July 2025, a delegation was granted by this Committee to Combined Authority Executive Director of Transport, in consultation with the Unitary Authority Directors of Infrastructure, to issue a grant variation letter in relation to the additional ZEBRA 2 award.
28. As the funding exceeds £25m a review by the Government's Subsidy Advice Unit (within the Competition and Markets Authority) is required to ensure that the grant

funding to First Bus is compliant with the Subsidy Control Principles. Only once a referral has been made and completed can a grant agreement signed with the bus operator. In November 2025 an application was made for an additional £11 million in funding, but in March 2026 the MCA were advised that this bid for a second scope increase was unsuccessful.

29. As a result of both the extended subsidy control process, and the need to wait for the outcome of the additional funding bid, the MCA is no longer able to vary the original grant funding agreement, as this agreement completed/expired in February 2026, and a new grant funding agreement is required. On this basis, new delegated authority is required to enter into a further grant funding agreement with First Bus, related to the additional £19.8m award.

Recommendation 7: Delegates authority to the West of England Mayoral Combined Authority Executive Director of Transport, in consultation with the Unitary Authority Directors of Infrastructure, to enter into a grant funding agreement with First Bus through the Zero Emission Buses Regional Areas (ZEBRA2) award. In the event of a consensus not being reached at Director level, decision making will be escalated to the West of England Mayoral Combined Authority's Chief Executive Officer (CEO) in consultation with the Unitary Authority CEOs

Zero Emission Transport City (ZETC) Funding Update

30. In January 2022, the DfT invited local authorities to submit Expressions of Interest to become a designated Zero Emission Transport City (ZETC). Bristol City Council, through the MCA as accountable body, submitted a successful bid and secured £500,000 in development funding, which was confirmed in March 2022. In March 2023, the DfT revised its approach to the ZETC programme, and subsequently paused the programme indefinitely. DfT has confirmed that the funding may be repurposed to support business case development and policy work.
31. In October 2025 the Committee noted that it was proposed to utilise the remaining ZETC funding for a series of policy and feasibility studies that broadly align with the original objectives of the ZETC initiative. Since October 2025 this work has been further defined and relates to the development of the following policies and plans:
- Transport Infrastructure Plan - setting out key infrastructure priorities for the city for bus, walking, cycling and private vehicle networks. Developing a scheme longlist that is costed and prioritised.
 - Kerbside Strategy - setting out a strategy for how kerbside space can be allocated to help the city achieve its aims around supporting active travel, urban greening, electrification and accessibility among other priorities.

- Transport Investment Strategy - setting out a strategy for reinvesting transport revenues generated from parking, bus gates, Clean Air Zone and other sources to improve the transport offering.
32. The previous approval in October 2025 delegated authority to the Director of Strategy and since this time the responsibility for this function has moved to the Executive Director for Transport. In light of this change it is proposed that the updated delegation supersedes the delegation approved in October and is to the Executive Director of Transport.

Recommendation 8: Notes the updated work programme to utilise the Zero Emission Transport City (ZETC) funding, as set out in paragraph 31.

Recommendation 9: Delegates oversight of the ZTEC funding to the Executive Director of Transport in consultation with the equivalent Unitary Authority Directors. In the event of a consensus not being reached at Director level, decision making will be escalated to the West of England Mayoral Combined Authority's Chief Executive Officer (CEO) in consultation with the Unitary Authority CEOs

Alternative Options Considered

33. The Investment Fund programme has been reviewed to consider the various options to increase the headroom and present further investment opportunities, the last of these being the changes reported to the Committee in March 2026. The programme will be subject to ongoing review with any further proposals identified presented to this Committee.

Consultation and Engagement

34. For the Distribution Hub, the Combined Authority has been engaging with the Unitary Authorities through the Director's forum and with the officers they designate for ongoing discussion. Bristol Charities, FSSW and Multibank have been closely involved in the development of this project. The Combined Authority and Bristol Charities are also meeting with other interested parties.
35. UA Directors have discussed the Nature Recovery Fund proposal at a high level and were supportive in principle. UA officers who are members of the West of England Nature Partnership have discussed how the proposal could work to deliver LNRS outcomes, and again, were supportive in principle.
36. With regards to the Cladding Remediation funding allocation, the Combined Authority has engaged, and will continue to engage, with the regions local regulators, which include our Unitary Authority (UA) partners and Avon Fire and Rescue Service.

Key Risks

37. All project business cases are required to set out the way that risks will be managed and provide a risk register. All projects underway will maintain a specific risk register as part of the project management and monitoring arrangements.

Diversity, Equity and Inclusion Implications

38. In developing the proposals set out in this paper, consideration has been given to the Public Sector Equality Duty under the Equality Act 2010. The programmes outlined have the potential to support positive equality outcomes across a number of areas, including access to essential goods, nature recovery, housing safety, regeneration, and low-emission transport. As delivery progresses, programme governance and monitoring arrangements should continue to consider accessibility, equitable access to opportunities, and the potential impacts on different communities across the region. Where Full Business Cases or further delivery proposals are developed, equality considerations should be embedded at the earliest stage, with appropriate evidence, engagement, mitigation and monitoring used to ensure programmes are accessible, inclusive and aligned with the Public Sector Equality Duty.

Health Improvement and Health Inequalities

39. Through redistributing surplus food and other goods to those who need them most, such as families on low incomes, the Distribution Hub will contribute to the Growth Strategy outcomes related to 'improving quality of life in areas of deprivation', 'improving the wider determinants of health' and to 'improve child health: emotional and physical wellbeing'.
40. The other recommendations within this report are primarily financial and governance related and do not give rise to any direct health implications, with any specific impacts to be considered through individual programme and project approval processes.

Climate Change Implications

41. The MCA has committed to addressing the climate and ecological emergencies and reiterated these commitments through proposals in the regional growth strategy.
42. The Zero Emission transport proposals in this paper will support the regional aims to reduce climate emissions. The proposed Nature Recovery Fund is explicit in its aim to support nature recovery. For the other proposals, climate and nature

impacts should be explicitly evaluated and mitigation measures put in place where appropriate.

Financial Implications

43. Following March 2026 approvals, headroom stood at £10.8m. The proposed £5.0m Nature Recovery Fund allocation, partially offset by £0.753m released through scheme change requests, would reduce available headroom to £6.6m.
44. The Distribution Hub does not seek further funding at this stage and is expected to remain within the £2.0m capital allocation already approved in principle, subject to Full Business Case approval.
45. The report also notes intended revenue grant receipts of £0.8685m from MHCLG and £0.200m from Homes England, both subject to Section 73 Officer approval of final terms and conditions. ZEBRA2 and ZETC activity must be managed within existing external funding allocations and relevant grant conditions.

Legal Implications

46. The Combined Authority Committee and, where applicable, the MCA s73 Officer, have the necessary legal powers under s1 of the Localism Act 2011, the West of England Combined Authority Order 2017 and the MCA Constitution to make the decisions contained in Recommendations 1, 2, 4, 6, 7 and 9 of this report.
47. There are no direct legal implications that arise from this report other than appropriate documentation will be required in due course to implement the various projects that are detailed, including the variation of any existing documents in respect of current projects where change requests are identified.

Human Resources Implications

48. The proposals within this report relate to allocation of investment funds. No direct workforce or organisational structure changes arise from the recommendations set out in this report.
49. As individual strategies and programmes progress to development and delivery stages, any workforce implications, including resourcing, skills requirements or programme capacity, will be considered through the MCA's established workforce planning and governance processes and brought forward in relevant future reports where appropriate.

Commercial and Procurement

50. The Commercial team are providing procurement support in the search for a Distribution Hub Site and will continue to provide support as needed to ensure any procurement activity is compliant with commercial governance and the Procurement Act.
51. There are no specific commercial implications which arise from the other recommendations within this report. Should the implementation of these recommendations require the procurement of third-party suppliers, then this will be subject to the Procurement Act and will require the appropriate level of commercial governance and approval by the Commercial Board. Further engagement with the Commercial team will be required to assess this in more detail.

Appendices

Appendix 1 - Investment Fund Programme

Appendix 2 - Distribution Hub Executive Summary

Background papers:

None

West of England MCA Contact:

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Appendix 1

Transport Infrastructure Projects – Previously Agreed Awards and Allocations to 27/28 (£000s)

Position as at:	Mar 2026	Jun 2026
Feasibility Studies		
Winterbourne/Frampton Cotterell Bypass and Coalpit Heath/Westerleigh Bypass Study	413	413
Bus Service Improvement Plan and Enhanced Partnership	537	537
West of England Regional Transport Model	525	525
Local Electric Vehicle Charging Infrastructure Bid	268	268
Business Case Development		
Mass Transit	10,981 [#]	10,981
Local Cycling & Walking Infrastructure	100	100
Bath to Bristol Strategic Corridor	1,549	Complete
Scholars Way Walking and Cycling Route	152	152
East Bristol Liveable Neighbourhood	712	712
Fieldings Bridge	46	Complete
Concorde Way / Dovercourt Depot	400	400
Grovesend Road / Gillingstool Corridor	870	870
Keynsham to Willsbridge Path	600	600
Electric Vehicles Charging Strategy	200	200
A37/A367 Sustainable Transport Corridor	356	356
Access for All Step Free Station Proposals Phases 1 and 2	177	177
Alveston Hill Cycleway	16	16
A432 Multi Modal Corridor	236	236
A38 Multi Modal Corridor	361	361
Muller Road Phase 2	388	388
Schemes in Delivery		
Cribbs Patchway MetroBus Extension	26,911	26,911
Integrated Transport Authority Functions	1,000	1,000
On-Bus Contactless Bank Card Payment	416	416
Wraxall Road Roundabout Improvements	6,887	6,887
Future Transport Zone	3,655	3,655
Yate A432 Park and Ride	4,651	4,651
On Bus Tap On, Tap Off	550	550
Metrobus Consolidation	1,337	1,337
A4 Portway Park & Ride Expansion	713	713

Access for All Mid-Tier	545	545
Bristol Bridge Signals Junction and Car Park VMS Project	510	510
Bedminster Green Highway Improvements Project	2,431	2,431
Arena Infrastructure Package	10,830	10,830
A4018 Corridor Improvements	522	522
Old Market Gap	280	280
SGC Sustainable Transport Package	668	668
Portway Station	2,050	2,050
Thornbury High Street	400	400
Emersons Green Local Transport Enhancements	537	537
MetroWest Phase 2	19,908	19,908
Electric Vehicle Charging Infrastructure	4,900	4,900
Yate Spur Phases 5 and 6	745	745
Bath Quays Bridge Cycle/Pedestrian links	1,865	1,865
Charfield Station	1,823	1,823
MetroWest Phase 1	23,633	23,633

<i>Completed Projects</i>	27,221	28,816
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Total of all Awards and Allocations:	163,875	163,875
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Funds Committed in Principle	2,958	2,958
Lockleaze Sustainable Transport Improvements	2,958	2,958

Total	166,833	166,833
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Notes:

Shaded rows show projects with changes in funding compared to that reported to the March Committee

Excludes additional £5.749m post 27/28

Housing, High Streets and Green Infrastructure Projects – Previously Agreed Awards and Allocations to 27/28 (£000s)

	Mar 26	Jun 26
Feasibility Studies		
South Gloucestershire High Streets Catalyst Phase 2	953	953
Heat from Mines	1,550	1,550
City and Town Centre Evidence Base	165	165
Local Nature Recovery Strategy Resource	28	28
Green Heritage Homes Phase 2	70	70
Future Regional Engagement on the Environment	320	320
Climate Ready Region	300	300
Integrated Flood Risk Reduction and Nature Recovery	100	100
Spatial Development Strategy	1,908	1,908
West of England Housing Policy Development	250	250
Regeneration Capacity	1,710	1,710
Clean Energy Solution for Live Events and TV/Film Pilot	164	164

Business Case Development		
Masterplanning: Brislington and North Keynsham	250	250
Green Infrastructure	300	300
B&NES Housing and Regeneration Enabling Fund	800	800
B&NES Strategic Masterplanning	1,345	1,345
Development of the strategic evidence base to inform Spatial Plan Making	900	900
Chew Valley Lake Recreational Trail (Southern Section)	250	250
Milsom Quarter	3,481	3,481
Western Harbour Masterplan and Infrastructure Delivery Plan	2,560	2,560
Bristol Harbour Place Shaping Strategy	283	283
Bristol Temple Quarter Joint Delivery Team	8,545	8,545
Waterspace Connected Phase 1	476	476
Green Infrastructure Implementation	423	423
Local Growth Plan – Capacity Raising	450	450
Thriving Waters	20	20

Schemes in Delivery		
North Keynsham Land Acquisition Fund	5,975	5,975
Bath City Centre High Streets Renewal Project	2,323	2,323
Bristol City Centre & High Streets Recovery & Renewal	3,959	3,959
Bottle Yard Studios - Hawkfield Business Park	11,978	11,978

Kingswood Regeneration Project	1,613	1,613
Thornbury Hospital Site (Land Acquisition Fund)	3,723	3,723
Common Connections	999	999
Midsomer Norton High Street Market Square	1,951	1,951
Bath Local Centres High Street Improvement Scheme	295	295
Hengrove Park Enabling Works	19,831	19,831
Hanham High Street	394	394
Bathscape	226	226
Managing More Greenspace for Nature	649	649
Linking the Levels	370	370
Pollinator Pathways	380	380
Farmer-led Nature Recovery Initiative	562	562
Health and Nature Strategy	100	100
Lower Chew Forest	2,000	2,000
<i>Allocations</i>		
LAF and DIF Repayments*	-9,632	-9,632
Bristol Temple Quarter Regeneration Programme	6,500	6,500
Nature Recovery Fund	-	5,000
<i>Completed Projects</i>		
	20,962	20,962
Total of all Awards and Allocations:	102,595	107,595
Total	102,595	107,595

Notes:

Shaded rows show projects with changes in funding compared to that reported to the March Committee

* Includes repayment for Thornbury Hospital site and repayable element for Bottle Yard Studios - Hawkfield Business Park.

Business and Skills Projects – Previously Agreed Awards and Allocations to 27/28 (£000s)

	Mar 26	Jun 26
<i>Feasibility Studies</i>		
Cultural Strategy	60	60
Climate Emergency and Capacity	536	536
Local Nature Recovery Strategy	38	38
Retrofit Step Up Programme	200	200
Regional Engagement on the Environment	150	150
Extension of Local Energy Advice	229	229
Resourcing the Climate Resilience Work Programme	300	300
Cultural and Community Events Pilot	41	41
Regional Wildlife Index	307	307
Employment and Skills Resources	415	415
Local Wildlife Sites and 30 by 30	95	95
Regional Climate Investment Pipeline	60	60
Net Zero Growth Planning	100	100
Nature Recovery Workplan	743	743
Climate Resilience Workplan	205	205
Clean Energy Workplan	1,300	1,300
Clean Energy Solution for Live Events	164	164
<i>Business Case Development</i>		
Somer Valley Enterprise Zone and Infrastructure	11,120	11,120
Energy Strategy Action Planning / Climate Change Planning	250	250
West of England Visitor Economy Recovery Project	254	254
Bath Central Riverside	548	548
Green Recovery Fund Resources	495	495
Hanham Community/Skills Hub	105	105
Regional Evidence Portal Pilot	50	50
Digital Office Pilot	2,519	2,519
Visitor Economy Strategic Development Funding	50	50
Cultural Compact Start Up Investment Fund Phase 2	748	748
Fashion Museum Bath	1,745	1,745
<i>Schemes in Delivery</i>		
South West Institute of Future Technology	320	320

Business Innovation Fund	242	242
LIS Productivity Challenge Delivery Programme	3,602	3,602
South Bristol Workspace	573	573
Reboot West	720	720
Low Carbon Challenge Fund Extension	2,098	2,098
Innovation for Renewal and Opportunity	6,317	6,317
Small Business Resilience Grant Programme	837	837
Culture and Creative Economy Recovery Fund	2,036	2,036
Quantum Technologies Innovation Centre+	34,974	34,974
Bath River Line Phase 1	1,915	1,915
Business Start Up School	500	500
Retrofit Accelerator Phase 1	3,515	3,515
Regional Low Carbon Delivery Programme	6,126	6,126
Hydrogen Sustainable Transport Economy Accelerator	1,300	1,300
GRF Nature Recovery Bidding Round	4,474	4,474
GRF Renewable Energy Bidding Round	2,108	2,108
Skills Connect/All Age Advice Centre	2,007	2,007
Mayoral Priority Skills Fund	2,581	1,764
I-START Phase 0	1,458	Complete
Retrofit Accelerator – Supply Side	2,382	2,382
West of England Business Support Programme	4,909	4,909
Green Futures Fund	300	300
Culture West	1,500	1,500
Visit West	2,000	2,000
Green Growth West Fund	1,000	Complete
Regional Employment Service	4,955	4,955
WE Work for Everyone Phase 3	852	852
Kingsley Hall Redevelopment	400	400
Careers Hub 25/26-26/27	727	727
Mayoral Priority Skills Fund NEET Activity	2,231	2,231
Regional Multi-Faceted Logistics Hub	2,050	2,050
Allocations		
I-START (now FWD)	200	0
Employment and Skills Fund	3,202	4,019
Youth Guarantee VCSE Flexible Support Fund	2,100	2,100

<i>Completed Projects</i>	25,244	27,149
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Total of all Awards and Allocations:	154,584	153,831
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Funds Committed in Principle	7,369	7,369
Somer Valley Enterprise Zone	5,593	5,593
Bath River Line	1,777	1,777

Total	161,953	161,200
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Notes:

Shaded rows show projects with changes in funding compared to that reported to the March Committee

Appendix 2

Distribution Hub - Executive Summary

At this stage the proposal is still being developed and will be finalised once a suitable site is identified and as such the details set out below are provisional.

At a glance: what this delivers for the West of England

Over 10 years	Every Year for 10 years
4.3 million additional meals for people in need	800,000 – 1 million essential non-food items redistributed
1,804 tonnes more surplus food redistributed	54,000 people / 19,000 families supported with provision of non-food items
27,700+ people supported by FSSW across all four unitary authorities in the region	120 employability pathway opportunities for local residents
3,600+ tonnes of CO ₂ e avoided through reduced waste	

Investment:

£4m blended investment (£2m MCA and £2m Bristol Charities) secures a long-term regional asset.

The challenge facing the region:

- 67,000 children across the West of England live in poverty after housing costs.
- Cost-of-living pressures are rising fastest in low-income households.
- At the same time:
 - Tonnes of good-quality food and household goods are wasted.
 - Voluntary, Community and Social Enterprise (VCSE) organisations are being priced out of warehouse and logistics space.
 - Demand for food, essentials and support continues to increase.
- Without intervention, charities will struggle to scale, and regional capacity to tackle poverty and waste will shrink.

The proposal:

- The MCA will co-invest with Bristol Charities to acquire and repurpose a regional distribution and logistics hub – delivering on goals in the region's Growth Strategy and Child Poverty Action Plan.
- The Hub will serve Bristol, Bath & North East Somerset, South Gloucestershire and North Somerset (and beyond¹).

¹ FareShare South West works right across the South West down to Cornwall, and a larger central distribution hub will enable scale-up across the whole area

- It will provide:
 - Affordable, fit-for-purpose space for surplus redistribution.
 - Shared infrastructure for regional VCSE partners.
 - A platform for employability, skills and inclusion.
- This is a MCA-wide asset, designed to reach urban, suburban and rural communities.

What the Hub will deliver:

Food redistribution at scale

- Enables FareShare South West to increase food volumes by 23.5%.
- Delivers 4.3m additional meals across the region.
- Supports over 170 frontline charities serving families with children.

A first for the South West

- Establishes the first Multibank-type service in the region.
- Redistributes surplus including baby items and bedding, school and household essentials, hygiene and period products.
- Directly reduces the cost of living for families.

Contribution to the region's Growth Strategy

- To support delivery of the following outcomes in the West of England's Growth Strategy Outcomes Framework:
 - 6.1.1 increasing engagement with support, advice and information for families.
 - 6.1.2. Increase engagement in activities and education for children and families.
 - 6.1.2.5 Value of cost savings for families.
 - 6.3.2 improving quality of life in areas of deprivation.
 - 6.4.1 improving the wider determinants of health.
 - 6.4.2 Improve child health: emotional and physical wellbeing.
 - 4.2.3 reducing geographical employment rate gaps for residents of areas of deprivation.
 - 5.2.1 Reduction in direct carbon emissions from industry and commercial operations, including from buildings upgraded.

Economic case

- Initial modelling work shows strong value for money²:
 - Benefits include reduced poverty, reduced public spending, avoided disposal costs, improved health outcomes, increased employment.
- Bristol Charities receives rental income (c.6% yield) reinvested into charitable activity; WECA receives long-term capital appreciation.

Skills, jobs and inclusion

- The Hub will act as a regional employability asset, creating 120 structured pathways including work experience, training and qualifications, and

² Note these figures are subject to review, to further refinement and to caveats which will be fully set out in the Full Business Case

supported employment and progression, with a focus on young people and those with Special Educational Needs and Disabilities (SEND).

Environmental impact

- Tackles poverty and pollution together by preventing 3,600+ tonnes of CO₂e emissions from food waste alone, plus further prevention through reuse of household goods.
- Supports a circular economy across the West of England and embeds MCA climate and sustainability priorities.

In summary:

- A single regional asset, delivering multiple MCA priorities.
- Measurable impact on child poverty, cost of living, skills and climate.
- Clear benefits across all four constituent authorities.
- Strong value for money through co-investment and shared infrastructure.